HellBurn's Vault

NFT-Powered Deflationary Burn Vault

Whitepaper v1.1

Community Draft — Feedback Welcome

Built on HellBurn Protocol — Ethereum Mainnet

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1. Introduction

HellBurn's Vault is a new DeFi protocol built on the HellBurn ecosystem on Ethereum Mainnet. It combines four powerful concepts: NFT ownership, automatic ETH yield generation, deflationary burn mechanics, and community-driven burn milestones.

Mint an NFT with ETH. The Vault deploys that ETH across three yield-generating strategies. You receive proportional ETH rewards — passively, forever. The longer you hold, the more you earn.

HellBurn's Vault is fully trustless — no admin key, no pause function, no withdrawal mechanism. Immutable once deployed.

2. The Problem

Most DeFi protocols share the same challenges:

- Too complex — multiple tokens, multiple steps, manual management
- Passive income requires active participation
- No real deflationary pressure — supply grows, value dilutes
- No external capital inflow — protocols recycle existing capital
- No community incentive to actively drive protocol growth

HellBurn's Vault solves all five problems in one product.

3. The Solution — HellBurn's Vault

- One action: mint an NFT with ETH — everything else is automatic
- Three yield sources: LP trading fees + dual ETH staking + burn pressure
- Loyalty boost: longer holding = higher yield share (up to 86%)

- Early Bird bonus: first minters in each tier receive +10% multiplier
- Reserve Pool: price floor protection for HBURN
- Burn Milestones: community events with ETH bonus payouts
- Fully trustless: no admin, no pause, no keys — ever
- Limited supply: maximum 10,000 NFTs total

How It Works — Step by Step

1	User chooses a tier and mints an NFT — Early Bird bonus applies to first minters
2	50% of ETH immediately buys HBURN on open market and burns it permanently
3	40% of ETH is deployed into HBURN/ETH Uniswap V3 Concentrated Liquidity pool
4	5% of ETH is staked via Lido (stETH) — generating ~4% APY
5	5% of ETH is staked via RocketPool (rETH) — generating ~4% APY
6	Permissionless rebalancer can be called by anyone when LP drifts outside range
7	All yield (LP fees + stETH + rETH) is continuously collected by the Vault
8	80–86% of yield is distributed to NFT holders (tier × loyalty multiplier)
9	15% of yield re-enters BuyAndBurn — buying and burning more HBURN
10	5% of yield flows into Reserve Pool — deployed when HBURN drops below threshold
11	When burn milestones are reached, bonus ETH payouts are triggered automatically

4. NFT Tier System

Four tiers with limited supply, proportional multipliers, and Early Bird bonus for first minters. Maximum 5 NFTs per tier per wallet prevents single-wallet dominance.

Tier	Mint Price	Max Supply	Max/ Wallet	Multiplier	Early Bird	Max Pool
🥉 Bronze	0.1 ETH	5,000	5	1x	+10% first 500	500 ETH
🥈 Silver	0.5 ETH	3,000	5	5x	+10% first 300	1,500 ETH
🥇 Gold	1.0 ETH	1,500	5	9x	+10% first 150	1,500 ETH
💎 Diamond	5.0 ETH	500	5	40x	+10% first 50	2,500 ETH
Total		10,000				6,000 ETH

🚀 *Early Bird Bonus: The first minters in each tier receive a permanent +10% multiplier on top of their tier multiplier. This bonus is locked into the NFT at mint time and cannot be changed — it transfers with the NFT on secondary market sales.*

5. Loyalty Boost — Diamond Hands Rewarded

HellBurn's Vault rewards long-term holders with an increasing yield share. The loyalty multiplier is calculated on-chain based on the time elapsed since mint. It reduces selling pressure and aligns NFT holder incentives with long-term protocol success.

Holding Period	Yield Share	Boost vs. Base
0 – 3 months	80%	Base
3 – 6 months	82%	+2%
6 – 12 months	84%	+4%
12+ months	86%	+6%

The loyalty boost applies to the NFT, not the wallet. If you sell your NFT, the new owner inherits the accumulated loyalty level — making aged NFTs more valuable on the secondary market.

6. Tokenomics & ETH Flow

Mint ETH Allocation

Allocation	Destination	Purpose
50%	Buys & burns HBURN permanently	Maximum deflationary pressure on HBURN supply
40%	HBURN/ETH Uniswap V3 Concentrated LP	Generates trading fee yield — permissionless rebalancer
5%	Lido Liquid Staking (stETH)	ETH staking yield — Lido (~4% APY)
5%	RocketPool Liquid Staking (rETH)	ETH staking yield — RocketPool (~4% APY)

Yield Distribution

The 5% Reserve Pool is deployed automatically when HBURN drops below a predefined on-chain price threshold — no admin action required.

Share	Recipient	Effect
80–86%	NFT Holders	Proportional to tier × loyalty multiplier — paid in ETH
15%	BuyAndBurn	Buys & burns HBURN permanently — compounds deflation
5%	Reserve Pool	Price floor support — deployed when HBURN drops below threshold

The Deflationary Loop

1	More NFT mints → more ETH into the Vault
2	More ETH → more HBURN bought and burned → supply decreases permanently
3	Lower supply → higher HBURN price → more valuable LP position
4	Higher HBURN price → more trading fees → more ETH yield for holders
5	Loyalty boost keeps holders long-term → less sell pressure → price stability
6	Reserve Pool activates on dips → price floor → LP fees protected
7	Burn milestones activate → community excitement → new minters attracted
8	Cycle compounds — stronger with every new participant

7. Burn Milestones — Community Events

HellBurn's Vault tracks total HBURN burned on-chain. When predefined milestones are reached, the contract automatically triggers a special ETH bonus payout to all current NFT holders. These events create community excitement, incentivise active HBURN burning, and reward long-term holders.

Milestone	HBURN Burned	Bonus
🔥 **Ignition**	100M HBURN	1x ETH bonus payout to all NFT holders
🔥🔥 **Inferno**	500M HBURN	2x ETH bonus payout + commemorative NFT badge
🔥🔥🔥 **Hell**	1B HBURN	5x ETH bonus payout + exclusive Diamond airdrop
💀 **Armageddon**	5B HBURN	10x ETH mega-payout — legendary on-chain event

🎯 *Milestone bonus ETH is sourced from accumulated LP fees and staking yield reserves. The community can track progress in real-time on hellburn.win. Anyone burning HBURN in HellBurn Protocol Epochs contributes to reaching the next milestone.*

8. Trustless LP Management

The 40% LP allocation uses Uniswap V3 Concentrated Liquidity within a defined price range. This significantly increases capital efficiency and trading fee yield compared to standard full-range LP positions.

Permissionless Rebalancing

When HBURN price moves outside the LP range, the position stops earning fees. HellBurn's Vault implements a permissionless rebalance function — a public function anyone can call to adjust the range. Callers receive a small ETH incentive to cover gas costs. No admin access. No central control. Same trustless pattern as finalizeEpoch() in HellBurn Protocol.

> *Impermanent Loss Notice: Concentrated Liquidity positions carry impermanent loss risk when price moves significantly outside range before rebalancing. The tight range strategy and permissionless rebalancer minimise this risk but cannot eliminate it entirely. See Section 11 for full risk disclosure.*

9. Break-Even & Return Projection

Estimated break-even based on conservative 12% annual ETH yield. Actual yield varies depending on HBURN trading volume, LP fee tier, and staking APY. Loyalty boost and milestone payouts are not included in this baseline projection — they improve the effective return.

Tier	Mint	Est. Annual Yield*	Break-Even	After 12 Months (Loyalty)
🥉 **Bronze**	0.1 ETH	~0.012 ETH (12%)	~8.5 yrs	84% yield share
🥈 **Silver**	0.5 ETH	~0.060 ETH (12%)	~8.5 yrs	84% yield share
🥇 **Gold**	1.0 ETH	~0.120 ETH (12%)	~8.5 yrs	84% yield share
💎 **Diamond**	5.0 ETH	~0.600 ETH (12%)	~8.5 yrs	84% yield share

** The NFT itself retains and likely appreciates in value. Early Bird NFTs (with +10% bonus) and aged NFTs (with loyalty boost) command premium prices on secondary markets.*

10. Risk Disclosure

Risk	Severity	Mitigation
Impermanent Loss	Medium	Concentrated Liquidity + permissionless rebalancer minimises IL significantly
Lido/RocketPool risk	Low	5% each — split across two providers; both battle-tested with $30B+ TVL combined

Risk	Severity	Mitigation
HBURN price volatility	Medium	Reserve Pool provides price floor support; Vault yield not dependent on HBURN price
Low trading volume	Medium	LP fees depend on HBURN volume — more adoption = more yield; milestones incentivise volume
All NFTs minted out	Low	Yield continues from LP fees + staking; secondary market ensures price discovery

11. Security & Trustlessness

- No admin key — parameters immutable after deployment
- No pause function — protocol cannot be stopped
- No withdrawal function — assets in Vault are non-extractable
- Permissionless LP rebalancer — anyone can trigger, no one controls
- Permissionless milestone trigger — anyone can trigger bonus payouts
- Max 5 NFTs per tier per wallet — prevents single-wallet dominance
- SpyWolf Security audit before mainnet deployment
- Full source code verified on Etherscan

12. NFT Transferability & Secondary Market

- Fully transferable ERC-721 tokens
- Buyer inherits tier multiplier, Early Bird bonus, AND loyalty level
- Aged NFTs with high loyalty level command secondary market premium
- Early Bird NFTs (first 500/300/150/50 per tier) permanently distinguished
- Diamond NFTs (only 500 globally) expected to be most sought-after

13. Roadmap

Phase	Milestone
Phase 1	Smart contract design & architecture
Phase 2	Internal testing & SpyWolf security audit
Phase 3	Testnet deployment & community beta
Phase 4	Mainnet launch — NFT minting opens
Phase 5	First burn milestone event — community activation
Phase 6	Secondary NFT market & DexScreener listing
Phase 7	Ecosystem integrations & partnerships

14. Disclaimer

This whitepaper is a community draft and subject to change based on feedback and technical development. It is for informational purposes only and does not constitute financial advice. DeFi protocols carry inherent risks including smart contract vulnerabilities, market volatility, impermanent loss, and liquidity risks. The estimated 12% APY is illustrative only and not guaranteed. Always conduct your own research (DYOR) before participating in any DeFi protocol.

🔥 HellBurn's Vault — Burn to Earn. Forever.

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